BOARD-APPROVED POLICY · MANDATORY

FINANCE POLICY & PROCEDURES

The mandatory financial rules of Best Gas — governance and delegated authority, ethics and anti-bribery, internal control and risk, accounting policy, operations, treasury, tax and records, and independent assurance. This manual states **what must be true**; the Finance SOP Manual states how it is carried out.

DOCUMENT	VERSION	EFFECTIVE DATE	CURRENCY / VAT
BG-FIN-POL-001	1.0 — Draft for Board approval	8 August 2026	SAR · 15% VAT
OWNER	**APPROVED BY**	**REVIEW CYCLE**	**COMPANION**
Chief Financial Officer	Board of Directors	Annual, or on trigger	BG-FIN-SOP-001

PART I

GOVERNANCE & AUTHORITY

Who sets financial policy, who may commit the company, and how this manual itself is governed.

POL-01 GOVERNANCE

ABOUT THIS MANUAL

This manual states **what Best Gas requires** of everyone who commits, spends, records or reports the company's money. It is mandatory, not advisory. Where a procedure describes *how* to perform a task, this manual states *what must be true* regardless of how the task is performed.

POLICY STATEMENT

Every financial transaction of Best Gas shall be properly authorised, adequately documented, accurately recorded in the period to which it relates, and capable of independent verification. No employee may approve, process and record the same transaction alone.

1.1 DOCUMENT HIERARCHY

Where documents conflict, the higher instrument prevails. Nothing in a lower-level document may authorise a departure from a higher one.

LEVEL	INSTRUMENT	SETS	APPROVED BY
1	Law & regulation (Companies Law, ZATCA, Labor Law, SOCPA-endorsed IFRS)	Non-negotiable legal obligations	External
2	Board resolutions & the Delegation of Authority	Who may bind the company, and to what value	Board
3	**This Finance Policy Manual**	Mandatory financial rules, limits and principles	Board, on CFO recommendation
4	Finance SOP Manual (BG-FIN-SOP-001)	Step-by-step execution of those rules	CFO
5	Work instructions, system configuration, forms	Local task detail	Process owner

1.2 SCOPE AND APPLICATION

- Applies to **all** Best Gas employees, contractors, agents and secondees, at head office, plants, branches, on delivery vans and within the Souq Gas platform.
- Applies to every subsidiary and any entity Best Gas controls, unless the Board formally exempts it in writing.
- Applies irrespective of transaction value. There is no de-minimis exemption from the control principles in this manual, only from specific approval thresholds where stated.

1.3 EXCEPTIONS, WAIVERS AND BREACH

1. Any departure from this manual requires a **written waiver in advance**, stating the policy, the business reason, the compensating control and an expiry date. Retrospective waivers are not permitted; a departure taken without a waiver is a breach, not a pending approval.
2. Waiver approval follows the value at risk: up to SAR 100,000 by the CFO; above that by the Audit Committee. Any waiver touching segregation of duties, bank mandates or the Delegation of Authority requires Audit Committee approval at any value.
3. All waivers are logged in a central register and reported to the Audit Committee quarterly. A waiver renewed more than twice signals a policy that is wrong and must be re-drafted rather than perpetually waived.
4. Breach of this manual is a disciplinary matter and, where it involves dishonesty, a matter for POL-08 and potentially for law enforcement.

1.4 OWNERSHIP AND REVIEW

The CFO owns this manual. It is reviewed at least annually, and immediately upon a change in law, a restructuring, a new business line, a material control failure, or an external audit finding. Every version is retained; the current version is the only one that may be applied.

IFRS - SOCPA-endorsed · COSO 2013 · ISO 31000:2018 · IESBA Code · IIA Three Lines · ISO 37001 · FATF · ZATCA

POL-02

GOVERNANCE

FINANCIAL GOVERNANCE & THE THREE LINES

Accountability for financial control is assigned on the `IIA Three Lines Model (2020)`, which separates *owning* risk from *overseeing* it from *independently assuring* it. Confusing these three is the most common way a control environment fails quietly.

ROLE	HELD BY	ACCOUNTABLE FOR
Governing body	Board & Audit Committee	Oversight; approving this manual and the Delegation of Authority; appointing external and internal audit; holding management to account
First line	Plant, branch, fleet, sales and Souq Gas operations	Owning and managing financial risk in the activity that creates it - accurate scanning, weighing, invoicing, cash handling and approvals
Second line	Finance, Inventory Control, Credit Control, Tax, Compliance	Setting rules, monitoring, challenging and reporting - expertise and oversight, but not independent assurance
Third line	Internal Audit	Independent, objective assurance over all of the above; reports functionally to the Audit Committee, not to the CFO (POL-37)
External assurance	External auditor, ZATCA, regulators	Statutory opinion and compliance inspection - outside the three lines entirely

▲ INDEPENDENCE RULE

Finance is a **second-line** function. It cannot provide independent assurance over controls it designs and operates. Where the CFO also owns a process, assurance over that process must come from Internal Audit or an external reviewer - never from within Finance itself.

2.1 RESERVED MATTERS

The following may not be delegated below the Board: approving the annual budget and the financial statements; approving borrowings, guarantees and encumbrances over company assets; opening or closing bank accounts and changing bank mandates; appointing or removing the external auditor; approving related-party transactions; and amending this manual or the Delegation of Authority.

POL-03

GOVERNANCE

DELEGATION OF AUTHORITY

✓ CONTROL POINT - BINDING LIMITS

The Delegation of Authority (DoA) is the single register of who may commit Best Gas, to what value, and for what purpose. Authority flows **only** from this table. A signature outside it does not bind the company and exposes the signatory personally.

◆ POLICY STATEMENT

No person may approve a transaction from which they benefit, approve their own expenses, approve a transaction with a related party, or approve beyond their delegated limit by splitting it into smaller parts. Splitting a commitment to evade a threshold is a disciplinary offence in itself.

3.1 FINANCIAL AUTHORITY MATRIX

DECISION	SUPERVISOR	DEPT. HEAD	FINANCE MGR	CFO	CEO	BOARD
Operating expenditure (per PO, SAR)	5,000	50,000	250,000	1,000,000	3,000,000	Above
Capital expenditure (SAR)	-	-	100,000	1,000,000	3,000,000	Above
Bulk LPG purchase commitment	-	-	-	Monthly contract	Annual contract	Multi-year
Customer credit limit (SAR)	-	-	50,000	250,000	1,000,000	Above
Bad-debt write-off (SAR)	-	-	25,000	100,000	250,000	Above
Inventory / cylinder variance write-off (SAR)	-	5,000	25,000	100,000	250,000	Above
Fixed asset disposal (NBV, SAR)	-	-	25,000	250,000	500,000	Above
Payment release (single, SAR)	-	-	50,000 single sig.	Above 50,000: two signatories		-
New bank account / mandate change	-	-	-	Recommend	Recommend	Approve
Borrowing, guarantee or pledge	-	-	-	Recommend	Recommend	Approve
Related-party transaction (any value)	-	-	-	Recommend	-	Approve

DECISION	SUPERVISOR	DEPT. HEAD	FINANCE MGR	CFO	CEO	BOARD
Policy waiver (POL-01.3)	-	-	-	100,000	-	Audit Cttee above

Limits are cumulative per counterparty per calendar month, not per document. Values are illustrative and must be ratified by the Board before this manual takes effect.

3.2 OPERATING THE DELEGATION

1. Authority attaches to the **role**, not the person. It transfers with the role and lapses immediately on transfer, suspension or exit.
2. Temporary delegation during absence must be in writing, time-boxed, and may never exceed the delegator's own limit. Authority cannot be sub-delegated further.
3. Approval must be evidenced in the system of record, not by email or verbal instruction. Where an emergency requires verbal approval, it is documented and countersigned within one business day.
4. The DoA is re-confirmed at least annually and immediately upon any change of role holder; Finance maintains the authoritative version and system approval limits must be reconciled to it quarterly.

POL-04

GOVERNANCE

ACCOUNTING FRAMEWORK & POLICY SETTING

Best Gas prepares its financial statements under `IFRS as endorsed in Saudi Arabia by SOCPA`. Accounting policy is set centrally; no plant, branch or subsidiary may adopt a local treatment.

> **POLICY STATEMENT**
>
> Accounting policies are selected and applied consistently for similar transactions under `IAS 8`. A policy may be changed only if the change is required by a standard, or results in reliable and more relevant information - never to manage a reported result.

4.1 CHANGES, ESTIMATES AND ERRORS

EVENT	TREATMENT UNDER IAS 8	APPROVAL
Change in accounting **policy**	Applied retrospectively; comparatives restated unless impracticable	CFO + Audit Committee, with external auditor consulted in advance
Change in accounting **estimate** (e.g. useful life, ECL rate, cylinder standard cost)	Applied prospectively; no restatement	CFO, documented with the basis for the revision
Prior-period error	Corrected retrospectively; comparatives restated	Audit Committee, with a root-cause report on how it escaped detection

4.2 JUDGEMENTS REGISTER

Finance maintains a register of significant accounting judgements and estimates - including the classification of cylinders as inventory rather than property, plant and equipment (POL-15), expected credit loss rates (POL-18), the useful lives applied to capitalised Souq Gas development (POL-16), and deposit forfeiture recognition. Each entry records the judgement, the alternative considered, the reason for the conclusion and the financial effect. This register is provided to the external auditor at every year-end and is the company's first line of defence when a treatment is challenged.

4.3 MATERIALITY

Materiality for financial reporting is set annually by the CFO in consultation with the external auditor, and is used to scope adjustments and disclosures. Materiality is a reporting concept only: **it is never a threshold for tolerating a control failure, a fraud, or an unauthorised transaction**, however small the amount.

PART II

ETHICS & CONDUCT

The standards of behaviour expected of anyone handling Best Gas money, and what happens when they are breached.

POL-05

ETHICS & CONDUCT

CODE OF FINANCIAL CONDUCT

Everyone performing a finance role at Best Gas - qualified accountant or not - is held to the five fundamental principles of the `IESBA International Code of Ethics for Professional Accountants`.

PRINCIPLE	REQUIREMENT	WHAT IT FORBIDS AT BEST GAS
Integrity	Be straightforward and honest in all professional and business relationships	Backdating a document, misstating a cylinder count, or presenting an estimate as a fact
Objectivity	Do not allow bias, conflict of interest or undue influence to override judgement	Setting a credit limit for a customer you have a personal interest in
Professional competence & due care	Maintain knowledge and skill; act diligently and in accordance with applicable standards	Applying a tax or IFRS treatment you have not verified is current
Confidentiality	Respect information acquired at work; do not disclose or use it for personal advantage	Sharing pricing, margin or customer data outside an authorised need to know
Professional behaviour	Comply with laws and regulations and avoid conduct that discredits the company or the profession	Any arrangement designed to obscure the substance of a transaction

✖ PRESSURE TO MISSTATE

No one at Best Gas may instruct, pressure or incentivise another person to record a transaction they believe to be wrong. An employee receiving such an instruction must decline it and report it under POL-08. **Following orders is not a defence**, and no performance target justifies a misstatement.

5.1 ANNUAL ATTESTATION

All finance staff, budget holders, branch managers, plant managers and anyone holding delegated authority under POL-03 sign an annual attestation confirming they have read this manual, have complied with it, hold no undisclosed conflict of interest, and are aware of no unreported breach. A refusal or a qualified attestation is escalated to the Audit Committee.

POL-06

ETHICS & CONDUCT

CONFLICTS OF INTEREST & RELATED PARTIES

A conflict of interest is not misconduct. **Failing to declare one is.**

◆ POLICY STATEMENT

Every employee must declare any interest that could reasonably be seen to influence their judgement - on appointment, annually, and immediately upon the interest arising. Anyone with a declared interest is excluded from evaluating, approving, or influencing the related decision.

6.1 DECLARABLE INTERESTS

- Any ownership, directorship, employment or consultancy with a supplier, customer, distributor, competitor or cylinder manufacturer.
- A close family member employed by, or owning an interest in, any counterparty of Best Gas.
- A family or personal relationship with anyone in the same approval chain - one relative may not approve another's transaction, expense or payroll change.
- Outside employment or a private business that competes for the employee's time or trades in LPG, cylinders or logistics.
- Any personal benefit, discount or arrangement offered because of the employee's role at Best Gas.

6.2 RELATED-PARTY TRANSACTIONS

Related parties are identified and disclosed in accordance with `IAS 24`. All related-party transactions require Board approval regardless of value (POL-03), must be on arm's-length commercial terms evidenced by an independent benchmark, and are separately tracked in the general ledger so they can be extracted and disclosed without reconstruction at year-end. A related-party transaction that cannot be evidenced as arm's length is not approved, whatever its commercial attraction.

POL-07

ETHICS & CONDUCT

ANTI-BRIBERY, GIFTS & HOSPITALITY

Best Gas operates a zero-tolerance policy on bribery and corruption, aligned to `ISO 37001` and Saudi anti-bribery law. This applies to giving *and* receiving, directly or through any agent, distributor or intermediary.

✖ ABSOLUTE PROHIBITIONS

No cash gift, in any amount, may be given or accepted. No **facilitation payment** may be made to expedite a permit, inspection, customs clearance or licence, even where locally customary. No payment may be made to a government official, or to anyone's family member, to influence a decision affecting Best Gas.

7.1 GIFTS AND HOSPITALITY THRESHOLDS

VALUE (SAR)	REQUIREMENT
Up to 300	Permitted Modest, infrequent, business context; no registration required
301 - 1,000	Declare Line manager approval and entry in the Gifts Register within 5 working days
Above 1,000	Refuse or surrender Politely declined, or surrendered to the company and disposed of by Finance
Any value, during a live tender or contract negotiation	Prohibited No gift or hospitality may pass in either direction while a decision is pending
Any value, involving a government official	Prohibited Refer to Legal before any response

7.2 THIRD PARTIES AND DUE DILIGENCE

Bribery risk transfers through intermediaries. Agents, customs brokers, distributors and consultants are screened before appointment (POL-09), are engaged only under a written contract containing anti-bribery undertakings and audit rights, and are paid only into a bank account in the contracting entity's own name in its country of operation. Success fees, commissions expressed as a share of a permit outcome, and payments routed through third countries are prohibited.

POL-08

ETHICS & CONDUCT

FRAUD, WHISTLEBLOWING & INVESTIGATIONS

Under COSO Principle 8, Best Gas must actively consider the potential for fraud rather than assume its absence. A cash-and-inventory business with thousands of daily transactions across vans, branches and an app has real, identifiable fraud exposure - and naming it is the first control.

8.1 KNOWN FRAUD EXPOSURES

SCHEME	WHERE IT OCCURS	PRIMARY CONTROL
Short-filling cylinders and pocketing the difference	Filling plant, refill counter	Mandatory pre/post weigh-in printed on the customer receipt (SOP-09)
Selling gas off-book for cash	Delivery vans, branches	Daily van three-way match; zero tolerance on full-cylinder shortages (SOP-16)
Diverting or re-selling "scrapped" cylinders	Condemned holding cage	Signed destruction certificate with photo evidence before the scrap journal posts (SOP-07)
Fictitious or duplicated vendors	Accounts payable	Vendor vetting and callback verification of bank-detail changes (SOP-02)
Ghost employees or unauthorised pay changes	Payroll	Independent HR/Finance review before release; WPS reconciliation (SOP-20)
Deposit refunds paid to non-existent customers	Branch counters	Finance Manager approval and deposit-register match (SOP-14)

SCHEME	WHERE IT OCCURS	PRIMARY CONTROL
Management override of controls	Anywhere, any seniority	Journal entry review, Internal Audit, whistleblowing channel

▲ MANAGEMENT OVERRIDE

Management override is the fraud risk that no routine control can prevent, because the person overriding the control is the person who operates it. Best Gas mitigates it by requiring all manual journals above SAR 50,000 to be independently reviewed, by giving Internal Audit unrestricted access, and by ensuring the whistleblowing channel bypasses line management entirely.

8.2 WHISTLEBLOWING

1. Any employee who suspects fraud, theft, bribery or financial misstatement **must** report it. Failing to report a known breach is itself a disciplinary matter.
2. Reports may be made to the line manager, the CFO, or - where those routes are compromised or the concern involves them - directly and confidentially to the Chair of the Audit Committee through a channel that does not pass through management.
3. Reports may be made anonymously and are treated confidentially. **Retaliation against anyone who reports in good faith is prohibited and is itself a dismissible offence**, even if the underlying concern proves unfounded.
4. A report made in good faith that turns out to be mistaken carries no consequence. A knowingly false report made maliciously is a disciplinary matter.

8.3 INVESTIGATION

Suspected fraud is investigated under the direction of the Audit Committee, not the department involved. Anyone implicated is removed from access to the relevant systems and records immediately - a precaution, not a finding of guilt. Evidence is preserved before any confrontation, and no settlement may be reached that conceals a fraud from the auditors or from the authorities where reporting is required by law.

POL-09

ETHICS & CONDUCT

COUNTERPARTY SCREENING, AML & SANCTIONS

Best Gas is not a financial institution, but it moves significant cash, sells a controlled commodity and pays international vendors. It therefore applies risk-based counterparty controls consistent with FATF recommendations and Saudi AML law.

◆ POLICY STATEMENT

Best Gas will not enter into or continue a business relationship where it cannot identify the counterparty, cannot establish the source of funds where that is material, or where the counterparty appears on an applicable sanctions list.

9.1 REQUIRED CHECKS

- **Vendors:** Commercial Registration and VAT number verified against the official registry; bank account confirmed in the legal entity's own name; ultimate beneficial ownership established for material or high-risk suppliers.
- **B2B customers on credit:** identity, registration and authorised signatories verified before a credit limit is granted (POL-25).
- **Sanctions and PEP screening:** performed at onboarding and re-screened at least annually for all vendors and credit customers, and on any change of ownership.
- **Intermediaries and agents:** enhanced due diligence, including anti-bribery undertakings under POL-07.

9.2 CASH HANDLING LIMITS

Cash is the highest-risk settlement method in the business. Card and Souq Gas wallet payments are the preferred channels and cash is the exception. Cash received from any single customer is capped at the statutory ceiling in force and, where a customer seeks to settle a large balance in cash, structure the payment through the bank instead. Any pattern of payments deliberately kept just below a reporting threshold, any request to route funds to an unrelated third party, and any refusal to provide identification are reportable indicators - escalate to the CFO and Compliance rather than completing the transaction.

PART III

III INTERNAL CONTROL & RISK

The control framework the whole company is measured against, and how risk is identified before it becomes loss.

POL-10

CONTROL & RISK

INTERNAL CONTROL FRAMEWORK

Best Gas adopts the `COSO Internal Control - Integrated Framework (2013)` in full: five components and all seventeen principles. A control system is only effective when **every** principle is present and functioning, and the components operate together - a strong control activity does not compensate for a weak control environment.

10.1 THE SEVENTEEN PRINCIPLES, MAPPED TO BEST GAS

#	COSO PRINCIPLE	HOW BEST GAS SATISFIES IT
1	Demonstrates commitment to integrity and ethical values	Code of Financial Conduct and annual attestation (POL-05)
2	Board demonstrates independence and exercises oversight of internal control	Audit Committee with direct line to Internal Audit (POL-02, POL-37)
3	Management establishes structures, reporting lines, authorities and responsibilities	Three Lines Model and the Delegation of Authority (POL-02, POL-03)
4	Demonstrates commitment to attract, develop and retain competent individuals	Defined finance role competencies and mandatory CPD for qualified staff
5	Holds individuals accountable for internal control responsibilities	Control duties written into job descriptions and appraisal; breach is a disciplinary matter (POL-01.3)
6	Specifies suitable objectives with sufficient clarity	Board-approved budget and KPI scorecard cascaded to plant, branch and route
7	Identifies and analyses risks to achieving objectives	Risk register maintained under ISO 31000 (POL-12)
8	Considers the potential for fraud in assessing risks	Named fraud-scheme register and override controls (POL-08)
9	Identifies and assesses significant change	Mandatory control reassessment on new sites, systems, products or laws (POL-12.3)
10	Selects and develops control activities that mitigate risk to acceptable levels	The SOP Manual (BG-FIN-SOP-001) - thresholds, matches, counts and reconciliations
11	Selects and develops general control activities over technology	Access, change and interface controls over Nana Financials and Souq Gas (POL-11.3)
12	Deploys control activities through policies and procedures	This manual sets expectation; the SOP manual puts it into action (POL-01.1)
13	Obtains, generates and uses relevant, quality information	Single GL of record and single delivery source of truth; no spreadsheet overrides
14	Communicates internal control information internally	Policy attestation, induction, and the monthly management pack (POL-38)
15	Communicates with external parties	Auditor and ZATCA reporting; supplier and customer terms; whistleblowing access

#	COSO PRINCIPLE	HOW BEST GAS SATISFIES IT
16	Selects, develops and performs ongoing and separate evaluations	Daily reconciliations and cycle counts (ongoing); Internal Audit (separate)
17	Evaluates and communicates deficiencies in a timely manner	Deficiency register with graded severity and tracked remediation (POL-10.2)

10.2 CONTROL DEFICIENCIES

GRADE	DEFINITION	ESCALATION & REMEDIATION
Material weakness	A deficiency, or combination, that creates a reasonable possibility of a material misstatement not being prevented or detected	Reported to the Audit Committee immediately; remediation plan within 30 days; disclosed to the external auditor
Significant deficiency	Less severe than a material weakness but important enough to merit attention by those charged with governance	Reported to the CFO within 5 working days; remediated within 90 days
Control observation	An improvement opportunity that does not currently threaten the reliability of reporting	Logged and addressed in the normal improvement cycle

Deficiencies are never closed on assertion. Closure requires evidence that the control now operates - a re-performed test, not a statement that the process has changed.

POL-11

CONTROL & RISK

SEGREGATION OF DUTIES & SYSTEM ACCESS

Segregation of duties is the structural control that makes every other control credible. It is not a matter of trust; it is a matter of design.

◆ POLICY STATEMENT

The four duties of **authorising** a transaction, **executing** it, **recording** it, and holding **custody** of the related asset must be distributed so that no individual performs more than two, and never both custody and recording of the same asset.

11.1 PROHIBITED COMBINATIONS

A PERSON WHO...	MAY NOT ALSO...	BECAUSE
Creates or amends a vendor record	Approve or release a payment	Enables a fictitious vendor to be paid
Approves a payment batch	Be a bank signatory releasing that batch	Removes the second pair of eyes on cash leaving the company
Holds custody of cylinder stock	Perform or sign off the physical count	Allows a shortage to be concealed by adjusting the count
Collects cash from customers	Post the cash receipt to the ledger	Enables lapping and teeming of receipts
Raises a credit note or deposit refund	Approve it	Enables value to be released without challenge

A PERSON WHO...	MAY NOT ALSO...	BECAUSE
Maintains payroll master data	Approve the payroll run	Enables ghost employees and unauthorised pay changes
Posts a manual journal	Approve that journal	Enables a result to be manufactured after the fact

11.2 WHERE SEGREGATION IS IMPOSSIBLE

At small branches a full separation may not be practical. Where that is the case, the conflict must be **declared and compensated**, never ignored: independent review of the full transaction listing by a manager at another location, mandatory annual leave of at least five consecutive working days with duties covered by another person, surprise counts, and enhanced Internal Audit coverage. A compensating control must be documented and approved by the CFO under POL-01.3, and reviewed annually to confirm it is still needed.

11.3 SYSTEM ACCESS (COSO PRINCIPLE 11)

1. Access to Nana Financials and Souq Gas is granted on **least privilege** - the minimum needed for the role - and is requested by the line manager, approved by the system owner and provisioned by IT. The three cannot be the same person.
2. User access is reviewed quarterly against the DoA and the segregation matrix above. Any access that would create a prohibited combination is revoked, not merely noted.
3. Access is revoked on the **same day** as a leaver's exit or a transfer out of the role. Generic, shared and default administrator accounts are prohibited; every action must be attributable to a named individual.
4. Privileged and superuser access is time-boxed, logged and independently reviewed. Changes to system approval limits, tax rates, pricing tables and the chart of accounts follow a documented change-control process with segregation between requester and implementer.

POL-12

CONTROL & RISK

FINANCIAL RISK MANAGEMENT

Risk management at Best Gas follows `ISO 31000:2018`, whose central purpose is the creation *and protection* of value - risk management exists to support decisions, not merely to avoid loss.

12.1 PRINCIPLES APPLIED

- **Integrated** into budgeting, capex appraisal, credit decisions and the close calendar - not a separate annual exercise.
- **Structured and comprehensive**, so results are consistent and comparable across plants, branches and the app.
- **Customised** to an LPG distribution business - safety, commodity price and cash handling dominate the profile.
- **Inclusive**, drawing on plant, fleet and branch knowledge rather than head-office assumption.
- **Dynamic**, responding as conditions change, with defined re-assessment triggers (12.3).
- Based on the **best available information**, with limitations and assumptions stated explicitly.
- Accounting for **human and cultural factors** - controls that rely on people behaving unrealistically will fail.
- Subject to **continual improvement** through loss analysis and audit findings.

12.2 PRINCIPAL FINANCIAL RISKS

RISK	EXPOSURE	POLICY RESPONSE
Commodity price	Bulk LPG feedstock repriced monthly against largely regulated or slow-moving selling prices - margin is compressed from both ends	Monthly margin review; contract price change booked on the effective date; escalation where the gross margin falls below the Board-approved floor (POL-32)
Cash misappropriation	Thousands of daily cash transactions across vans and branches	Daily banking, three-way van match, card and wallet as preferred channels (POL-26)
Inventory loss	Cylinders held off-premises with customers and in transit	Deposit register reconciliation; count programme; variance write-off thresholds (POL-15)
Credit	B2B receivables concentrated in restaurants, catering and industry	Credit limits, ECL provisioning, suspension of supply at 60 days (POL-25)
Liquidity	Working capital absorbed by cylinder purchases and deposits held	13-week rolling cash forecast; minimum liquidity buffer (POL-30)
Regulatory & tax	ZATCA e-invoicing, VAT and Zakat obligations at scale	Real-time clearance integration; monthly reconciliation; Tax sign-off (POL-33)
Safety-linked financial	An LPG incident carries catastrophic liability alongside operational loss	Product and public liability cover; claims log; Board reporting (POL-13)
Foreign exchange	Limited - SAR pegged to USD; exposure arises on non-USD equipment and software	Exposure monitored; hedging only with Board approval (POL-32)

12.3 RE-ASSESSMENT TRIGGERS (COSO PRINCIPLE 9)

The risk register and the related controls must be formally reassessed - not merely noted - on any of the following: opening or closing a plant or branch; a change to the Souq Gas platform affecting orders, payments or stock; a new product, gas type or cylinder size; a change in law, tax rate or e-invoicing obligation; a material acquisition or disposal; a significant control failure or fraud; or a change of key personnel in a role carrying delegated authority.

POL-13

CONTROL & RISK

INSURANCE & BUSINESS CONTINUITY

LPG is a hazardous product. Insurance here is a safety and solvency control as much as a financial one.

> ◆ POLICY STATEMENT
>
> Best Gas shall at all times maintain insurance sufficient to survive its largest reasonably foreseeable single loss. Cover is reviewed against replacement values annually and immediately upon a material change in asset base or operations. Operating without a required cover in force is not permitted, at any cost saving.

- **Property and plant** - fire and explosion cover on bulk storage and filling infrastructure at replacement value.
- **Fleet** - comprehensive cover on vans and tankers including third-party liability for LPG cargo.
- **Public and product liability** - the single largest tail risk, arising from filled cylinders in customer hands.
- **Stock in transit** - cylinders and bulk gas on vans or moving between plant and warehouse.
- **Business interruption** - loss of margin following an insured event at a filling plant.
- **Crime / fidelity** - employee dishonesty, given the volume of cash handled.

Every claim is logged regardless of value, to inform renewal negotiation and to reveal control weaknesses that the loss has exposed. Any claim above SAR 100,000, and any incident likely to give rise to one, is reported to the CFO within 24 hours. Finance maintains a continuity plan covering loss of a filling plant, loss of the Souq Gas platform, and loss of banking access, and tests the financial elements of it annually.

PART IV

IV ACCOUNTING POLICIES

The recognition and measurement rules Best Gas applies, and the judgements behind them.

POL-14 ACCOUNTING POLICY

REVENUE RECOGNITION

Revenue is recognised under IFRS 15 when control of the gas transfers to the customer - not when an order is placed, not when cash is received, and not when stock leaves the warehouse.

STREAM	PERFORMANCE OBLIGATION	CONTROL TRANSFERS WHEN
Refill (customer's own cylinder)	Supply of gas by weight	Weigh-out is complete and the cylinder is returned to the customer
Cylinder exchange	Supply of gas only; the steel is not sold	The full cylinder is handed over
Souq Gas app order	Supply of gas, plus delivery where charged	Order reaches **Delivered** status with proof of delivery captured
B2B contract supply	Each delivery under the contract	Delivery is accepted at the customer site
Outright cylinder sale	Transfer of the steel itself	The cylinder is handed over and no deposit liability is created
Cylinder deposit received	**None** - refundable, so not a supply	Never. Held as a liability until refunded or forfeited (POL-19)

▲ CUT-OFF

Revenue cut-off is the most common source of period-end misstatement in a delivery business. Goods on a van at midnight on the last day of the month are **inventory, not revenue**. All app shifts must be settled before the ledger closes (SOP-28). Deliberately holding a delivery open or closing it early to move revenue between periods is a misstatement under POL-05.

Prepaid Souq Gas wallet balances are contract liabilities, not revenue, and are released only as deliveries are completed. Variable consideration - volume rebates, promotional discounts and delivery-fee waivers - is estimated and constrained so that recognised revenue is only that which is highly probable not to reverse.

POL-15 ACCOUNTING POLICY

INVENTORY & THE CYLINDER JUDGEMENT

✓ KEY JUDGEMENT - AUDITOR CHALLENGE POINT

Inventory is measured at the **lower of cost and net realisable value** under IAS 2. The defining judgement for Best Gas is the classification of cylinders themselves.

◆ POLICY STATEMENT - CYLINDERS ARE INVENTORY

Best Gas classifies LPG cylinders as **inventory, not property, plant and equipment**. Cylinders are purchased finished from third-party manufacturers as trading stock - Best Gas does not fabricate them - and a material share of the population is sold outright each month through first-time exchanges, at a turnover measured in thousands of units. The population is costed, counted, provided against and written off exactly as merchandise. This meets the IAS 2 test of assets held for sale in the ordinary course of business.

This is a judgement, not an accounting convenience, and Finance must be able to defend it. Returnable packaging operated as a pure closed-loop rental - always recovered, never sold - would ordinarily fall under `IAS 16` instead. The judgement therefore depends on facts that must continue to hold, and it is re-tested annually: if outright cylinder sales became insignificant and the population behaved as a permanently retained rental pool, reclassification to PP&E would be required. The test, its evidence and its conclusion are recorded in the judgements register (POL-04.2).

15.1 COST MEASUREMENT

COMPONENT	COST FORMULA	BASIS
Bulk LPG (butane, propane)	Weighted average	Purchase price plus freight, duty and handling to the storage tank
Cylinders (steel)	Standard cost, revalued at least annually	Purchase price plus inbound freight and serialisation; variances analysed, not buried
Filled cylinder (finished)	Steel standard cost + rated fill weight at weighted-average gas cost	Conversion costs of the filling operation included only to the extent of normal capacity

Abnormal losses - a major leak, a failed batch, storage losses beyond the normal shrinkage allowance - are expensed as incurred and never absorbed into inventory cost. Fixed overhead absorption is based on normal capacity, so a low-volume month does not inflate the carrying value of stock.

15.2 PROVISIONING AND WRITE-DOWN

- Cylinders idle beyond 12 months, or past their periodic inspection date without a scheduled re-test, are reviewed for provision.
- Cylinders in the condemned holding cage are **fully provided** from the moment of condemnation - a condemned cylinder has scrap value only.
- Net realisable value is assessed at least annually; where the regulated selling price of gas falls below its landed cost, finished stock is written down accordingly.
- Unexplained count variances are written off under the POL-03 authority matrix. A growing unexplained variance is treated as a control failure under POL-10.2, not merely an accounting entry.

POL-16

ACCOUNTING POLICY

PROPERTY, PLANT, EQUIPMENT & INTANGIBLES

Applies to everything Best Gas owns that is *not* a cylinder: filling plant, fleet, buildings, IT and the capitalised Souq Gas platform. Measured at cost less accumulated depreciation and impairment under IAS 16 and IAS 38.

16.1 CAPITALISATION RULES

1. The capitalisation threshold is **SAR 5,000** per item. Items below it are expensed regardless of useful life. Bulk purchases of low-value items may not be aggregated to cross the threshold.
2. Cost includes purchase price, non-refundable duties, and all costs directly attributable to bringing the asset to working condition. Training, relocation and administrative overhead are expensed.
3. Subsequent expenditure is capitalised only if it enhances the asset beyond its original standard. **Routine maintenance, repairs and periodic cylinder or vehicle testing are expensed.**
4. Assets under construction are held separately, are not depreciated, and are transferred into service - starting depreciation - on the date they become available for use, not the date of final invoice.

16.2 USEFUL LIVES

CLASS	USEFUL LIFE	METHOD
Filling plant & machinery	15 years	Straight-line
Bulk storage tanks	20 years	Straight-line
Delivery vans & tankers	5 years	Straight-line
Buildings & leasehold improvements	20 years / lease term if shorter	Straight-line
IT equipment	4 years	Straight-line
Capitalised Souq Gas development	3 - 5 years	Straight-line from go-live of the release

Residual values, useful lives and depreciation methods are reviewed at each reporting date; any revision is a change in estimate applied prospectively (POL-04.1).

16.3 SOUQ GAS DEVELOPMENT COSTS

Internally generated software is capitalised only from the point at which technical feasibility, intention and ability to complete, probable future economic benefit, and reliable measurement of cost are **all** demonstrated. Research, preliminary planning, and post-launch maintenance and support are expensed as incurred. Finance and the engineering lead jointly certify the stage split each sprint before month-end; a retrospective reclassification of expensed cost into an asset is not permitted.

POL-17

ACCOUNTING POLICY

LEASES

Under IFRS 16 Best Gas recognises a right-of-use asset and a lease liability for substantially all leases - depots, branch premises, land, vehicles and equipment.

- The liability is measured at the present value of remaining lease payments, discounted at the rate implicit in the lease or, where not readily determinable, the incremental borrowing rate approved by the CFO.
- The right-of-use asset is depreciated over the shorter of the lease term and the asset's useful life.
- Recognition exemptions are applied consistently for short-term leases (12 months or less) and leases of low-value assets; these are expensed straight-line.
- Extension and termination options are included in the lease term only where the company is **reasonably certain** to exercise them - assessed on evidence, not on preference, and reassessed on a significant change in circumstances.
- Every new or renewed contract is reviewed by Finance for embedded lease terms before signature. A contract conveying the right to control an identified asset for a period is a lease whatever it is called.

POL-18

ACCOUNTING POLICY

FINANCIAL INSTRUMENTS & EXPECTED CREDIT LOSS

Financial assets and liabilities are recognised, classified and measured under IFRS 9. Trade receivables are held to collect and carried at amortised cost.

◆ POLICY STATEMENT

Best Gas applies the **simplified expected credit loss model** to trade receivables, recognising lifetime expected credit losses from initial recognition through a provision matrix. Provisioning is forward-looking: a receivable does not have to be overdue to require a provision.

AGEING	BASELINE ECL RATE	ACTION
Current - 30 days	0%	Standard statement
31 - 60 days	5%	Reminder and account manager contact
61 - 90 days	25%	Supply suspended pending an agreed payment plan
Over 90 days	50 - 100%	Referred to collections or legal

Baseline rates are adjusted for forward-looking information - sector distress, a customer's known difficulty, or a deteriorating economic outlook - and are recalibrated at least annually against actual loss history. A receivable is written off only when there is no reasonable expectation of recovery; write-off requires approval under POL-03 and does **not** end collection efforts or the customer's legal obligation. Customer cylinder deposits held are financial liabilities, carried at the amount repayable on demand.

POL-19

ACCOUNTING POLICY

PROVISIONS, CONTINGENCIES & DEPOSITS

A provision is recognised under `IAS 37` only where a present obligation exists from a past event, an outflow is probable, and the amount can be reliably estimated. Provisions may not be used to smooth results.

ITEM	TREATMENT
Customer cylinder deposits	Financial liability at the refundable amount, released only on refund or on forfeiture under the dormancy policy
Deposit forfeiture	Recognised as other income only after 24 months of account inactivity, three documented contact attempts and CFO approval - never netted against revenue or cost of sales
Legal and regulatory claims	Provided where probable and estimable; otherwise disclosed as a contingent liability
Site restoration and decommissioning	Provided at the present value of the obligation where a legal or constructive duty exists
Onerous contracts	Provided at the lower of the cost of fulfilling and the cost of exiting the contract
Contingent assets	Never recognised; disclosed only where an inflow is probable

Provisions are reviewed at every reporting date and reversed where no longer required. Reversal is disclosed rather than quietly absorbed into the operating result.

POL-20

ACCOUNTING POLICY

EMPLOYEE BENEFITS

Employee benefits are recognised under `IAS 19` in the period in which the employee renders service - not the period in which they are paid.

- **Short-term benefits** - salaries, allowances, GOSI contributions and accrued but untaken leave - are recognised as an expense and a liability as service is rendered.
- **End-of-service benefits** are an unfunded defined benefit obligation under Saudi Labor Law, accrued monthly per employee on current wage and tenure. They are never recognised only on exit. Where the obligation is material, it is measured on an

actuarial basis with the assumptions - discount rate, salary growth, attrition - documented and reviewed annually.

- **Incentives** for drivers and sales staff are accrued in the period the qualifying performance occurs, measured on the same delivery data used operationally. An incentive is not paid where an unresolved cash or cylinder variance is outstanding against that individual; it is held, and released or forfeited on resolution.
- Any change to an incentive scheme formula requires joint Finance and HR approval and written notice to affected staff before the period it applies to. Schemes may not be re-based retrospectively.

POL-21

ACCOUNTING POLICY

FOREIGN CURRENCY

The functional and presentation currency is the **Saudi Riyal**. Foreign currency is translated under `IAS 21`.

- Transactions are translated at the spot rate on the transaction date; a monthly average rate may be used where rates do not fluctuate significantly.
- Monetary items are retranslated at the closing rate at each reporting date, with differences recognised in profit or loss. Non-monetary items measured at historical cost are not retranslated.
- Rates are taken from a single approved source - the Saudi Central Bank published rate - applied consistently. Rate sources may not be selected transaction by transaction.
- Because the Riyal is pegged to the US dollar, USD exposure is treated as low risk; material exposure in other currencies, typically European plant and equipment, is reported to the CFO and hedged only under POL-32.

POL-22

ACCOUNTING POLICY

IMPAIRMENT OF NON-FINANCIAL ASSETS

Assets are reviewed for impairment under `IAS 36` whenever events or changes in circumstances indicate the carrying amount may not be recoverable.

1. Indicators are assessed at every reporting date and include: a plant or branch operating below plan for two consecutive quarters; a filling line idled or running materially below capacity; loss of a major B2B contract; regulatory change affecting selling prices; physical damage; and a decision to dispose of or restructure an operation.

2. Where an indicator exists, the recoverable amount is measured as the higher of fair value less costs of disposal and value in use, and compared to carrying amount.
3. Cash-generating units are defined as the smallest group of assets generating largely independent cash inflows - normally the individual filling plant together with the branch and route network it serves.
4. Impairment of assets other than goodwill is reversed if the estimates used to determine recoverable amount change, but only up to the carrying amount that would have existed had no impairment been recognised. Goodwill impairment is never reversed.

PART V

V FINANCIAL OPERATIONS

The rules governing how money is committed, spent, collected and held day to day.

POL-23

OPERATIONS

PROCUREMENT & COMMITMENT

A commitment is created the moment Best Gas gives a supplier reason to act - not when the invoice arrives. Every commitment must therefore be authorised **before** it is made.

POLICY STATEMENT

No purchase order, no payment. Goods or services received without a valid, pre-approved purchase order create a liability the company did not authorise. Retrospective purchase orders raised to regularise an existing commitment are a breach under POL-01.3 and are reported, not quietly processed.

23.1 COMPETITION REQUIREMENTS

VALUE (SAR)	REQUIREMENT	APPROVAL
Up to 5,000	Single quote; value for money assessed by the requester	Supervisor
5,001 - 50,000	Minimum two written quotes	Department head
50,001 - 250,000	Minimum three written quotes with a documented evaluation	Finance Manager + Procurement
Above 250,000	Formal tender, sealed bids, evaluation panel of at least three	CFO; Board above the DoA limit

23.2 SINGLE SOURCING AND EXCEPTIONS

Competition may be waived only where genuinely justified - a sole authorised distributor, a proprietary spare, a safety-critical part that must match the installed equipment, or the national bulk LPG supplier. Each waiver is documented with the reason, approved one level above the normal threshold, and reported to the Audit Committee quarterly. "We have always used them" and "there was no time" are not valid justifications; recurring urgency is a planning failure to be fixed, not a permanent exemption.

23.3 THREE-WAY MATCH

No invoice is paid without agreement between the **purchase order** (what was authorised), the **goods received note** (what actually arrived, confirmed by someone other than the buyer) and the **invoice** (what is being charged). Quantity and price tolerances are set in the system; anything outside tolerance is blocked for investigation rather than released on judgement. For bulk LPG the GRN quantity is the independently metered receipt, never the quantity stated on the supplier's delivery note.

POL-24

OPERATIONS

PAYMENTS & BANKING MANDATES

✓ CONTROL POINT - CASH LEAVING THE COMPANY

Payment release is the last point at which an error or a fraud can be stopped. Controls here are absolute and are not relaxed for urgency.

✖ NON-NEGOTIABLE RULES

Payments are made only to a bank account held in the **name of the contracting counterparty**. Payments to a third party, to a personal account of an employee or owner of a corporate supplier, or to an account in a country unconnected with the contract, are prohibited without CFO approval and documented justification. Cash payment of a supplier invoice is prohibited.

24.1 PAYMENT CONTROLS

1. Payments are made through scheduled runs against approved, matched invoices. Off-cycle and manual payments are exceptions requiring CFO approval with the reason recorded.
2. **Maker-checker** applies to every payment file: the person preparing the batch may not release it, and may not be a bank signatory on it (POL-11.1).
3. Two signatories are required above SAR 50,000, at least one at Finance Manager level or above.
4. Bank mandates, signatory panels and account opening or closure are Board-reserved matters (POL-02). Changes are actioned directly with the bank and confirmed independently.
5. Vendor bank-detail changes require a **callback to a verified number already on file** - never a number supplied in the change request. This single control defeats the most common invoice-redirection fraud.
6. Payments are never made against a statement, a pro-forma, a quotation or an emailed instruction alone. A valid tax invoice is required.

Bank accounts are reconciled at least monthly - daily for high-volume collection accounts - by someone who neither raises nor releases payments. Reconciling items older than 30 days are escalated to the Finance Manager and no reconciliation may be signed off with an unexplained difference.

POL-25

OPERATIONS

CREDIT MANAGEMENT

Credit is a commercial decision with a financial limit, taken independently of the person who benefits from the sale.

POLICY STATEMENT

Credit is extended only to approved B2B accounts. **Retail refill and exchange is cash, card or Souq Gas wallet - never on account.** No supply may be made on credit before a limit is formally approved, and Sales may not set or vary a customer's credit limit.

1. Every credit application is assessed on Commercial Registration, VAT registration, trade and bank references, and financial statements where the requested limit exceeds SAR 250,000. Screening under POL-09 is completed before approval.
2. Limits are approved per POL-03 and reviewed at least annually, and immediately on a payment default, a bounced instrument, or news of financial difficulty.
3. Supply is **automatically suspended** at 60 days overdue, and the release of a suspension requires Finance Manager approval and an agreed, documented payment plan - not merely a promise to pay.
4. Exceeding an approved limit requires prior approval at the next authority level. A system block, not a report, enforces this.
5. Security - guarantees, post-dated instruments or deposits - is obtained where a limit is material or the customer is newly established, and is monitored for expiry.

POL-26

OPERATIONS

CASH HANDLING

Best Gas collects cash at branch counters and on hundreds of van routes daily. This is the company's largest recurring loss exposure and is controlled accordingly.

1. **Electronic settlement is the default.** Card readers and Souq Gas wallet payment are offered on every route and at every counter; cash is accepted, not encouraged.
2. All cash collected is **banked intact the same business day**, or the next business day where collection occurs after banking hours. Cash may not be used to make payments, to give change against another day's takings, to fund petty expenses, or to refund deposits.
3. Cash is counted and handed over under dual control at every transfer of custody, with a signed record. The person who collects cash may not post the receipt to the ledger (POL-11.1).
4. Cash on hand at any branch or on any van may not exceed the insured limit; where takings approach it, an intermediate banking run is made.

5. Every shift is reconciled the same day: system-recorded takings against physical cash against the bank deposit slip. Variances are escalated per the SOP thresholds, and repeated variances by the same individual are treated as a conduct matter, not a rounding issue.
6. Petty cash operates on a fixed imprest float, is restricted to minor incidental expenses, is replenished only against original receipts, and is subject to unannounced counts at least quarterly. Petty cash may never be used to circumvent the procurement or payment policies.

POL-27

OPERATIONS

TRAVEL & EXPENSES

Company funds may be used only for genuine, necessary business expenditure, incurred at reasonable cost and supported by evidence.

- Expenses are approved by the claimant's line manager. **No one may approve their own expenses**, and no one may approve the expenses of a person who approves theirs.
- Claims require original itemised receipts. A card statement, a summary total or a photograph of a card terminal slip is not sufficient evidence of what was purchased.
- Claims must be submitted within 60 days of being incurred; later claims require CFO approval.
- Travel is booked through approved channels at the lowest reasonable fare; class of travel and accommodation standards follow the grade table maintained by HR.
- Personal expenditure, fines and traffic penalties, and any expense that would breach POL-07 are never reimbursable. Fines incurred by drivers are recovered in accordance with the applicable labour rules, not absorbed silently.
- Company fuel cards and vehicles are for business use; personal use requires written authorisation and is reported where it constitutes a taxable benefit.

POL-28

OPERATIONS

CAPITAL INVESTMENT APPRAISAL

Capital is scarce and, once committed to a filling plant or a fleet, is largely irreversible. Every capital request is therefore appraised on a consistent basis before approval.

> ▲ CYLINDERS ARE NOT CAPEX
>
> Cylinder purchases are **inventory** under POL-15, regardless of the total value of the order. They are budgeted and controlled through working capital, not through the capital expenditure process. This Part covers plant, fleet, buildings and technology only.

28.1 APPRAISAL REQUIREMENTS

VALUE (SAR)	BUSINESS CASE REQUIREMENT	APPROVAL
Up to 100,000	Written justification and cost comparison	Finance Manager + asset owner
100,001 - 1,000,000	Full business case: discounted cash flow, payback, sensitivity analysis, options considered	CFO
Above 1,000,000	As above plus risk assessment, HSE review and post-implementation review commitment	Board

1. Appraisals use incremental, after-tax cash flows discounted at the company's approved cost of capital. Sunk costs are excluded; opportunity costs are included.
2. Projects must exceed the Board-approved hurdle rate unless they are mandatory - safety, legal or regulatory compliance - in which case the appraisal compares the cost of compliance options rather than seeking a return.
3. Approval covers a defined scope and value. Overruns beyond 10% require re-approval at the original authority level; a project may not be phased into tranches to stay below a threshold.
4. A **post-implementation review** is mandatory within 12 months for every project above SAR 1,000,000, comparing actual outcomes to the business case. The results are reported to the Board and inform future appraisal assumptions - this is how optimistic forecasting gets corrected.

POL-29

OPERATIONS

PAYROLL CONTROL

Payroll is typically the largest recurring cash outflow after gas purchases, and is uniquely exposed because the same data drives both an expense and a payment.

1. Payroll master data - new hires, leavers, salary changes, bank details - is maintained by HR and may not be amended by anyone who processes or approves the payroll run (POL-11.1).
2. Every payroll run is reviewed independently before release, with a variance analysis against the prior period. Unexplained movements are resolved before payment, not after.
3. Salaries are disbursed through the **Wage Protection System**; the WPS submission confirmation is retained as evidence of compliance with Saudi labour requirements.

4. GOSI contributions are calculated on each employee's contributory salary at the rates in force for Saudi and non-Saudi employees respectively, and remitted with the payroll cycle.
5. Bank details changed within 30 days of a payroll run are verified directly with the employee through an independent channel before payment.
6. Leavers are removed from payroll and from all system access on their exit date. A headcount reconciliation between HR records, payroll and system access is performed at least quarterly to detect ghost employees.
7. Payroll data is confidential. Access is restricted to named individuals and every access is logged.

PART VI

VI TREASURY & CAPITAL

Protecting liquidity, controlling borrowing, and managing the price and rate exposures the business carries.

TREASURY

POL-30 LIQUIDITY & WORKING CAPITAL

Best Gas is profitable on a cylinder long before it is cash-positive on one. Steel is bought, deposits are held, gas is financed and receivables are carried - so liquidity, not profit, is the binding constraint.

> ◆ POLICY STATEMENT
>
> Best Gas shall maintain, at all times, available liquidity - cash plus committed undrawn facilities - sufficient to cover at least **three months** of forecast operating outflows, including bulk LPG purchases, payroll and tax obligations. Breach of this floor is reported to the Board immediately, not at the next scheduled meeting.

- Treasury maintains a **13-week rolling cash forecast**, updated weekly, reconciled to actuals so that forecasting accuracy is itself measured and improved.
- Cash is swept daily from collection accounts to the main operating account; idle balances are minimised and surplus funds are placed only in instruments approved under POL-31.
- Working capital targets - days sales outstanding, days payable outstanding, cylinder velocity and stock cover - are set annually and reported monthly. Deterioration is investigated as a control question, not only a commercial one.
- **Customer deposits are not free cash.** They are a repayable liability, and liquidity planning must assume a reasonable level of refund demand rather than treating the deposit pool as permanent funding.

TREASURY

POL-31 BORROWING, GUARANTEES & INVESTMENT

Only the Board may commit Best Gas to debt or contingent obligations. This authority is never delegated.

1. All borrowing, overdraft facilities, letters of credit, bank guarantees, performance bonds and any pledge or encumbrance over company assets require **prior Board approval** (POL-02).
2. Financial covenants are registered by Treasury at inception, tested at least quarterly, and forecast forward. A projected breach is reported to the CFO and the

Board **before** it occurs - a covenant breach discovered after the event is a treasury control failure in its own right.

3. Guarantees given on behalf of any third party, including related parties, are prohibited without Board approval and are disclosed as contingent liabilities under POL-19.
4. Surplus funds may be placed only in capital-preserving instruments with approved counterparties. **Speculative investment, trading in commodities or securities for gain, and any leveraged instrument are prohibited.** Treasury exists to protect liquidity, not to generate trading profit.
5. Counterparty concentration is monitored; deposits are spread across approved banks so that the failure of a single institution does not threaten operations.

POL-32

TREASURY

MARKET RISK & HEDGING

Best Gas's dominant market exposure is the **LPG feedstock price**, because the purchase price moves monthly while selling prices are regulated or slow to adjust. Margin is squeezed from both directions and must be monitored deliberately.

EXPOSURE	POSITION	POLICY
LPG feedstock price	Structural and unavoidable	Monthly margin-by-channel review; contract price changes booked on the effective date; escalation to the Board where gross margin falls below the approved floor
Foreign exchange	Low - SAR pegged to USD; residual on European equipment	Monitored; natural offset preferred; hedging only with Board approval
Interest rate	Arises only on approved borrowings	Mix of fixed and floating agreed at facility approval; not actively traded
Counterparty / bank	Deposits and settlement balances	Approved-counterparty list with concentration limits (POL-31)

✖ HEDGING IS RISK REDUCTION, NEVER SPECULATION

Derivatives may be used **only** to hedge an identified, existing or highly probable forecast exposure, must be approved individually by the Board, and must be supported by hedge documentation at inception. Taking a derivative position where no underlying exposure exists is prohibited absolutely - that is trading, not hedging, and it is outside the business Best Gas is authorised to conduct.

PART VII

VII TAX, REPORTING & RECORDS

Statutory obligations, the integrity of what is reported, and how long the evidence must survive.

POL-33

TAX & RECORDS

TAX & ZAKAT POLICY

Best Gas pays the tax and Zakat legally due, on time, and files accurately. It does not pursue aggressive positions and does not enter arrangements whose main purpose is to obtain a tax advantage.

POLICY STATEMENT

Best Gas maintains a **low-risk tax posture**. Where the law is genuinely unclear, the company adopts a defensible interpretation supported by written advice, discloses it where required, and documents the reasoning. Uncertainty is resolved by seeking clarity from ZATCA or a professional adviser - never by choosing the most favourable reading and hoping it is not examined.

OBLIGATION	BASIS	KEY CONTROL
VAT (15%)	Output VAT on gas revenue across all channels; input VAT recovered on valid tax invoices	Monthly reconciliation of the sales ledger, VAT ledger and ZATCA acknowledgements before filing
Cylinder deposits	**Not** consideration for a supply while refundable, so excluded from the taxable base	System-enforced separation of deposit from gas value at the point of sale; treatment confirmed against current ZATCA guidance
E-invoicing (Phase 2)	Compliant e-invoices cleared through the ZATCA integration in real time	POS and Souq Gas both call the same invoicing service, so no channel can bypass clearance
Zakat	Assessed on the Zakat base derived from the approved financial statements, per ZATCA regulations	Annual computation reviewed by the CFO and an external adviser; certificate obtained for tender use
Withholding tax	Deducted at source on payments to non-resident vendors at the rate for the service category	Non-resident vendors flagged at onboarding so treatment is set before the first payment, not after
Customs & excise	On imported cylinders, plant and spares	Broker instructions in writing; no facilitation payments (POL-07)

1. All returns are prepared by Tax, reviewed independently, and approved by the CFO before submission. The preparer may not also be the approver.
2. Filing and payment deadlines are tracked on a compliance calendar with owners and escalation dates. A missed deadline is a reportable control failure under POL-10.2, whether or not a penalty results.
3. All correspondence, assessments and audits from ZATCA are routed to the CFO on receipt. No employee may negotiate, concede or settle a tax position without CFO authority.

4. Penalties and interest arising from error or late filing are analysed for root cause and reported to the Audit Committee - they are a control failure, not a cost of doing business.

POL-34

TAX & RECORDS

FINANCIAL REPORTING INTEGRITY

Reported numbers must be complete, accurate, supported and produced on a predictable calendar. Reporting integrity is a control outcome, not a presentation exercise.

34.1 LEDGER DISCIPLINE

1. Nana Financials is the **single general ledger of record**. No parallel ledger, shadow spreadsheet or side memorandum may be used to produce reported figures.
2. Every balance sheet account has a **named owner** and is reconciled on a defined frequency. A reconciliation is complete only when differences are explained and cleared - a "balancing" entry with no explanation is prohibited.
3. Manual journals require supporting documentation and independent approval; any journal above SAR 50,000, and every journal posted after the close cut-off, is reviewed by the Finance Manager (POL-08.1).
4. Accounting periods are **locked** once closed. Reopening a closed period requires CFO approval and is logged and reported to the Audit Committee.
5. Suspense and clearing accounts are cleared monthly and may never be used to defer the recognition of a known difference.

34.2 REPORTING CALENDAR

REPORT	FREQUENCY	DEADLINE	AUDIENCE
Daily cash position	Daily	By 10:00 next business day	CFO
Van and branch settlement	Daily	Same day as the shift	Finance / Operations
Management pack and KPI scorecard	Monthly	Working day 5	Executive
Management accounts with variance commentary	Monthly	Working day 5	Executive, Board
Rolling reforecast	Quarterly	Working day 10 after quarter end	Board
Statutory financial statements	Annual	Per Companies Law and ZATCA deadlines	Board, auditor, regulators

Variance commentary is required on any line moving more than 5% or SAR 100,000 against budget. Commentary must explain *why* in operational terms - a restatement of the number is not an explanation.

34.3 EXTERNAL AUDIT

The external auditor is appointed by the Board and reports to the Audit Committee. Management provides complete and timely access to records, systems and personnel, and may not restrict scope. All audit adjustments, whether recorded or passed as immaterial, are reported to the Audit Committee together with an explanation of why each arose. Non-audit services from the external auditor require Audit Committee pre-approval to protect independence.

POL-35

TAX & RECORDS

RECORDS RETENTION & DATA GOVERNANCE

Records are the evidence that every control in this manual actually operated. Without them, a compliant process is indistinguishable from an uncontrolled one.

▲ STATUTORY MINIMUMS

Saudi commercial books law requires accounting records to be maintained in Arabic and retained **within the Kingdom**. Commercial and tax records are retained for the periods prescribed by law - generally up to **10 years** for commercial books, with tax and VAT records subject to their own minimum periods and longer adjustment periods for capital assets. Where periods differ, Best Gas applies the **longest** applicable period. Confirm current statutory periods with Legal and Tax before disposing of any record.

RECORD CLASS	RETENTION	OWNER
General ledger, trial balance, statutory financial statements	Permanent	Finance
Commercial books and supporting accounting records	At least 10 years	Finance
Tax and VAT records, e-invoices, ZATCA acknowledgements	Per ZATCA minimums, extended for capital-asset adjustment periods	Tax
Contracts, leases, guarantees	10 years after expiry or final settlement	Legal
Payroll, GOSI and end-of-service records	Per labour law, minimum 10 years after separation	HR
Cylinder register, destruction certificates, count records	Life of the asset plus 5 years	Inventory Control
Bank statements and reconciliations	10 years	Treasury
Whistleblowing and investigation files	10 years, restricted access	Audit Committee

1. Records may not be destroyed while subject to an audit, investigation, dispute or **legal hold**. A legal hold overrides every retention schedule until formally lifted.
2. Electronic records are the record of account where the system is the authoritative source. Backups are taken, tested by periodic restoration, and held so that a single site failure cannot destroy the accounting history.
3. Financial and personal data is classified and access-controlled; export of customer, payroll or pricing data requires authorisation and is logged.

4. Disposal at end of retention is authorised, logged and carried out securely. Ad-hoc deletion of financial records is prohibited.

PART VIII

VIII ASSURANCE & COMPLIANCE

How Best Gas independently proves that the rules in this manual are actually being followed.

POL-36

ASSURANCE

INTERNAL AUDIT

Internal Audit is the **third line** under POL-02, providing independent and objective assurance over governance, risk management and internal control.

> ◆ INDEPENDENCE AND AUTHORITY
>
> Internal Audit reports functionally to the **Audit Committee** and administratively to the CEO - never to the CFO, whose functions it audits. It has unrestricted access to all records, systems, property and personnel. Management may not limit its scope, direct its findings, or edit its reports. The Audit Committee approves its charter, plan, budget and the appointment or removal of its head.

1. The annual audit plan is **risk-based**, derived from the risk register (POL-12) and the fraud-scheme register (POL-08), and is approved by the Audit Committee. Coverage is weighted to cash handling, van and branch settlement, cylinder inventory, procurement and payments.
2. Internal auditors may not audit an activity for which they held operational responsibility within the previous 12 months.
3. Findings are graded on the severity scale in POL-10.2, with an agreed owner and remediation date for each. Management responses are published with the finding, including any disagreement.
4. Remediation is **independently re-tested**, not accepted on management assertion. Overdue high-severity findings are escalated to the Audit Committee at every meeting until closed.
5. Internal Audit performs unannounced work - surprise cash and cylinder counts, van settlement observation - and its right to do so without notice is explicit.

POL-37

ASSURANCE

COMPLIANCE MONITORING & ATTESTATION

A policy that is never tested is an assumption. Compliance with this manual is monitored continuously and evidenced.

ACTIVITY	FREQUENCY	OWNER
Policy attestation by all authority holders (POL-05.1)	Annual and on appointment	Finance / HR
Conflict of interest declarations (POL-06)	Annual and on change	Compliance
Delegation of Authority reconciled to system approval limits	Quarterly	Finance
User access review against the segregation matrix (POL-11.3)	Quarterly	Finance / IT
Waiver and exception register review	Quarterly	Audit Committee
Gifts and hospitality register review	Quarterly	Compliance
Sanctions and PEP re-screening of vendors and credit customers	Annual	Compliance
Balance sheet reconciliation completeness review	Monthly	Finance Manager
Full policy review and re-issue	Annual, or on trigger (POL-01.4)	CFO

Induction for every new finance employee, budget holder and authority holder includes this manual; the DoA and the segregation rules are covered explicitly. No one may exercise delegated authority before completing it.

POL-38

ASSURANCE

CONSEQUENCES OF BREACH

Policy without consequence is guidance. This manual is enforced.

CATEGORY	EXAMPLES	CONSEQUENCE
Administrative	Late expense claim; missing receipt; reconciliation submitted after the deadline	Correction and coaching; repetition escalates
Control breach	Retrospective purchase order; approval outside delegated limit; unreviewed manual journal	Formal disciplinary process; authority may be withdrawn
Serious breach	Splitting a transaction to evade a threshold; bypassing segregation of duties; concealing a variance; failing to declare a conflict	Disciplinary action up to dismissal; reported to the Audit Committee
Dishonesty	Theft, fraud, bribery, falsification of records, retaliation against a whistleblower	Summary dismissal, recovery of loss, and referral to the authorities where required by law

Consequence applies regardless of seniority, of whether the company suffered an actual loss, and of whether the individual personally benefited. A control breach that happens to cause no loss is still a breach - the absence of harm is luck, not compliance.

App.

REFERENCE

APPENDIX

A.1 STANDARDS AND AUTHORITIES REGISTER

REFERENCE	FULL TITLE	APPLIED IN
IFRS / SOCPA	IFRS as endorsed for application in Saudi Arabia by the Saudi Organization for Chartered and Professional Accountants	POL-04, Part IV
IAS 2	Inventories	POL-15
IAS 8	Accounting Policies, Changes in Accounting Estimates and Errors	POL-04
IAS 16 / IAS 38	Property, Plant and Equipment / Intangible Assets	POL-15, POL-16
IAS 19	Employee Benefits	POL-20
IAS 21	The Effects of Changes in Foreign Exchange Rates	POL-21
IAS 24	Related Party Disclosures	POL-06
IAS 36	Impairment of Assets	POL-22
IAS 37	Provisions, Contingent Liabilities and Contingent Assets	POL-19
IFRS 9	Financial Instruments	POL-18
IFRS 15	Revenue from Contracts with Customers	POL-14
IFRS 16	Leases	POL-17
COSO 2013	Internal Control - Integrated Framework, Committee of Sponsoring Organizations of the Treadway Commission	POL-10, POL-11
ISO 31000:2018	Risk management - Guidelines	POL-12
ISO 37001	Anti-bribery management systems	POL-07
IESBA Code	International Code of Ethics for Professional Accountants, IFAC / IESBA	POL-05
IIA	Three Lines Model (2020) and the International Professional Practices Framework	POL-02, POL-36
FATF	Financial Action Task Force Recommendations, as implemented in Saudi AML law	POL-09
ZATCA	VAT Implementing Regulations, E-Invoicing (Fatoora) Resolution, Zakat Implementing Regulations	POL-33
Saudi law	Companies Law, Law of Commercial Books, Labor Law, GOSI and Wage Protection System requirements	POL-29, POL-35

Standards are cited for the matters they govern conceptually. Always confirm the current locally adopted edition, rate, interval or threshold before relying on a specific figure in this manual.

A.2 POLICY-TO-PROCEDURE MAP

This manual states the rule; the Finance SOP Manual (BG-FIN-SOP-001) states how to carry it out.

POLICY	EXECUTED THROUGH
POL-15 Inventory and cylinders	SOP-06 Filling, SOP-07 Cylinder lifecycle, SOP-08 Counts
POL-14 Revenue recognition	SOP-09 Refill, SOP-10 Exchange, SOP-11 Souq Gas app, SOP-12 B2B
POL-23 / POL-24 Procurement and payments	SOP-02 Vendor master, SOP-03 Bulk LPG, SOP-04 Non-gas, SOP-05 AP runs
POL-25 Credit management	SOP-13 Credit control and collections
POL-26 Cash handling	SOP-15 Banking, SOP-16 Van and PSP settlement, SOP-17 Petty cash
POL-16 / POL-28 Fixed assets and capex	SOP-18 Capex approval, SOP-19 Asset register and disposal
POL-20 / POL-29 Employee benefits and payroll	SOP-20 Payroll and GOSI, SOP-21 Incentives, SOP-22 End-of-service
POL-33 Tax and Zakat	SOP-23 VAT and e-invoicing, SOP-24 Zakat, SOP-25 Withholding tax
POL-34 Reporting integrity	SOP-26 Budget, SOP-27 Board reporting, SOP-28 Month-end close
POL-10 / POL-11 Control and segregation	SOP-29 Internal control structure and SoD by cycle
POL-13 Insurance and continuity	SOP-30 Insurance and business continuity

A.3 GLOSSARY

DoA	Delegation of Authority - the register of who may commit the company and to what value (POL-03).
Segregation of duties	Distribution of authorising, executing, recording and custody so no individual controls a transaction end to end.
Three Lines Model	IIA framework separating risk ownership (first), oversight (second) and independent assurance (third).
Material weakness	A deficiency creating a reasonable possibility that a material misstatement would not be prevented or detected.
Management override	Circumvention of a control by someone with the authority to operate it - the residual fraud risk no routine control removes.
ECL	Expected credit loss - forward-looking provisioning for receivables under IFRS 9.
Facilitation payment	A small payment to speed a routine official action. Prohibited absolutely at Best Gas (POL-07).
Legal hold	A suspension of records destruction because of actual or anticipated audit, dispute or investigation (POL-35).
Waiver	A documented, time-limited, pre-approved departure from this manual with a compensating control (POL-01.3).
WPS	Wage Protection System - mandatory salary disbursement monitoring in Saudi Arabia.

A.4 APPROVAL AND REVISION HISTORY

VERSION	DATE	CHANGE	APPROVED BY
1.0	2026-08-08	Initial issue - 38 policies across eight parts, aligned to SOCPA-endorsed IFRS, COSO 2013, ISO 31000:2018, the IESBA Code, the IIA Three Lines Model, ISO 37001, FATF and ZATCA requirements	Draft for Board approval

▲ BEFORE THIS MANUAL TAKES EFFECT

Approval thresholds, credit and waiver limits, retention periods and tax treatments in this manual are drafted for Best Gas but must be **ratified by the Board** and confirmed against current Saudi law and ZATCA guidance before issue. Once ratified, this manual supersedes all previous financial instructions, however communicated.